Important Questions with Answers

Chapter 8: Building Blocks in Economics: The Problem of Choice
Class 9 Social Science (NCERT) - Understanding Society: India and Beyond, Part 1

A. MCQs B. Fill in the Blanks C. True/False D. Match the Following E. Assertion-Reason F. Short Answer G. Long Answer

A. Multiple Choice Questions (1 mark each)

Q1. Essentials like food, water and shelter are called:

(a) Wants
(b) Needs
(c) Luxuries
(d) Services

Answer: (b) Needs

Q2. Human wants are:

(a) Limited and fixed
(b) Unlimited and keep changing
(c) Limited but changing
(d) Equal for everyone

Answer: (b) Unlimited and keep changing

Q3. Which of the following is NOT a factor of production?

(a) Land
(b) Labour
(c) Capital
(d) Inflation

Answer: (d) Inflation (the factors are land, labour, capital and technology)

Q4. The value of the next best alternative given up when a choice is made is called:

(a) Demand
(b) Opportunity cost
(c) Profit
(d) Scarcity

Answer: (b) Opportunity cost

Q5. The curve showing different combinations of two goods that can be produced with all available resources is the:

(a) Demand curve
(b) Supply curve
(c) Production Possibility Curve
(d) Cost curve

Answer: (c) Production Possibility Curve (PPC)

Q6. The word 'economics' comes from the Greek word:

(a) Oikonomia
(b) Economos
(c) Polis
(d) Demos

Answer: (a) Oikonomia (oikos = household, nemein = management)

Q7. The mismatch between unlimited wants and limited resources gives rise to:

(a) Surplus
(b) Scarcity
(c) Inflation
(d) Profit

Answer: (b) Scarcity

Q8. The Economic Survey of India is prepared by the:

(a) Ministry of Finance
(b) Ministry of Home Affairs
(c) Supreme Court
(d) NITI Aayog only

Answer: (a) Ministry of Finance (presented in Parliament before the Union Budget)

Q9. Which is NOT one of the three key questions of economics?

(a) What to produce
(b) How to produce
(c) For whom to produce
(d) When to import

Answer: (d) When to import

Q10. Production that uses more workers and less machinery is called:

(a) Capital-intensive
(b) Labour-intensive
(c) Technology-intensive
(d) Mass production

Answer: (b) Labour-intensive

Q11. Which activity usually relies more on capital (machinery)?

(a) Handicrafts
(b) Agriculture
(c) Steel and automobile manufacturing
(d) Weaving by hand

Answer: (c) Steel and automobile manufacturing

Q12. In which economy does a central planning authority make all major economic decisions?

(a) Market economy
(b) Planned economy
(c) Mixed economy
(d) Open economy

Answer: (b) Planned economy

Q13. Which of the following is an example of a planned economy given in the chapter?

(a) USA
(b) Japan
(c) Former Soviet Union
(d) Germany

Answer: (c) Former Soviet Union (also North Korea and Cuba)

Q14. In a market economy, decisions are mainly determined by:

(a) The government
(b) Forces of demand and supply
(c) Tradition
(d) The army

Answer: (b) Forces of demand and supply

Q15. In a market economy the government acts like a:

(a) Player
(b) Referee
(c) Coach
(d) Spectator

Answer: (b) Referee in a football match

Q16. Which of the following is an example of a mixed economy?

(a) North Korea
(b) Cuba
(c) India (post-1991)
(d) Former Soviet Union

Answer: (c) India (post-1991); others: China post-1978, Germany, Sweden

Q17. Goods and services available to all without anyone being excluded are called:

(a) Private goods
(b) Public goods
(c) Luxury goods
(d) Capital goods

Answer: (b) Public goods (e.g. parks, roads, street lights)

Q18. India introduced major economic reforms in:

(a) 1947
(b) 1965
(c) 1991
(d) 2005

Answer: (c) 1991

Q19. A student has Rs 100 and must choose between a notebook and saving for a tennis racket. Which concept best explains this?

(a) Demand
(b) Opportunity cost
(c) Production
(d) Inflation

Answer: (b) Opportunity cost

B. Fill in the Blanks (1 mark each)

Q20. Human _____ are unlimited, while resources are limited.

Answer: wants

Q21. The four factors of production are land, labour, capital and _____.

Answer: technology

Q22. Water and coal are examples of _____ resources.

Answer: natural

Q23. Economics literally means _____ management.

Answer: household

Q24. The Production Possibility Curve slopes _____ because producing more of one good means producing less of the other.

Answer: downward

Q25. The Economic Survey is presented in Parliament before the Union _____.

Answer: Budget

Q26. The three key questions are what, how and _____ to produce.

Answer: for whom

Q27. The central authority that plans a planned economy is part of the _____.

Answer: government

Q28. In a _____ economy, most resources and sectors like land, factories and banks are owned by the government.

Answer: planned

Q29. A _____ economy combines features of both market and planned economies.

Answer: mixed

Q30. The Chinese economy became mixed after _____.

Answer: 1978

Q31. In a planned economy, strict permits and _____ restrict competition among private enterprises.

Answer: licenses

Q32. Parks, roads, police services and street lights are examples of _____ goods.

Answer: public

C. True or False (1 mark each)

Q33. Human wants are limited, so all wants can be satisfied.

Answer: False. Wants are unlimited, while resources are limited, so not all wants can be satisfied.

Q34. Both natural and human-made resources are limited in quantity.

Answer: True.

Q35. Capital and technology are human-made resources.

Answer: True.

Q36. When one alternative is chosen, the other options are given up, and their value is the opportunity cost.

Answer: True.

Q37. Every point on the PPC shows the maximum output possible through efficient use of resources.

Answer: True.

Q38. Economics is concerned only with money and markets.

Answer: False. It is about how choices are made to use limited resources to satisfy needs and wants, including well-being and equity.

Q39. Good economic decisions rely on data and analysis, not guesswork.

Answer: True.

Q40. Economists work only in the government.

Answer: False. They work in policy-making, business consulting, finance, research and education.

Q41. The question of 'for whom to produce' depends on the needs and income of consumers.

Answer: True.

Q42. Agriculture and handicrafts usually rely more on labour than on machines.

Answer: True.

Q43. If machines are cheap, firms may shift to automation.

Answer: True.

Q44. In a planned economy, firms strongly compete to improve quality and innovate.

Answer: False. There is little motivation to improve quality or innovate.

Q45. In a market economy, the government has no role at all.

Answer: False. It ensures safety and law and order and provides public goods and infrastructure.

Q46. Almost all economies today are mixed economies.

Answer: True.

Q47. India followed a more state-led approach after Independence and moved towards a more market-oriented system after 1991.

Answer: True.

D. Match the Following (1 mark per pair)

Q48. Match the economic system with its feature.

	Column A		Column B
1	Planned economy	A	Demand and supply decide, with little government role
2	Market economy	B	Private and government sectors coexist (e.g. India post-1991)
3	Mixed economy	C	Central authority decides all major questions (e.g. North Korea)

Answer: 1-C; 2-A; 3-B

Q49. Match the term with its meaning.

	Column A		Column B
1	Opportunity cost	A	Annual report on the Indian economy by the Ministry of Finance
2	Scarcity	B	Use of more workers and less machinery
3	Economic Survey	C	Goods available to all, such as roads and parks
4	Labour-intensive production	D	Mismatch between unlimited wants and limited resources
5	Public goods	E	Value of the next best alternative given up

Answer: 1-E; 2-D; 3-A; 4-B; 5-C

Q50. Match the shoe type with the group it is produced for.

	Column A		Column B
1	School shoes	A	Athletes and fitness enthusiasts
2	Office-wear shoes	B	Students; simple, durable and affordable
3	Sports shoes	C	Daily use; comfortable yet affordable
4	Casual shoes or slippers	D	Office-goers and high-income customers
5	Leather shoes	E	Working professionals; comfortable and formal

Answer: 1-B; 2-E; 3-A; 4-C; 5-D

E. Assertion-Reason Questions (1 mark each)

Options: *(a) Both A and R are true and R is the correct explanation of A. (b) Both A and R are true but R is not the correct explanation of A. (c) A is true but R is false. (d) A is false but R is true.*

Q51. Assertion (A): Every economy faces the problem of choice.
Reason (R): Wants are unlimited whereas resources are limited.

Answer: (a)

Q52. Assertion (A): Opportunity cost is incurred in every choice.
Reason (R): Resources have alternative uses, so choosing one means giving up another.

Answer: (a)

Q53. Assertion (A): The PPC slopes downward.
Reason (R): To produce more of one good, some of the other good must be sacrificed.

Answer: (a)

Q54. Assertion (A): A garment manufacturer may shift to machines.
Reason (R): Machines become more affordable and technology advances.

Answer: (a)

Q55. Assertion (A): A planned economy encourages innovation.
Reason (R): Private enterprises face strict permits and licences and limited competition.

Answer: (d) A is false; R is true. A planned economy gives little motivation to innovate.

Q56. Assertion (A): In a market economy the government does not control prices or production.
Reason (R): The government can never play any role in a market economy.

Answer: (c) A is true; R is false. The government still ensures law and order and provides public goods.

Q57. Assertion (A): Most modern economies are mixed economies.
Reason (R): They combine private ownership and government regulation.

Answer: (a)

Q58. Assertion (A): Producers do not consider consumers' income while deciding what to produce.
Reason (R): Resources are plentiful, so there is no wastage.

Answer: (d) Both are false. Producers study tastes, income and demand to avoid wasting limited resources.

F. Short Answer Questions (2 to 3 marks each)

Q59. Differentiate between needs and wants.

Answer: Needs are essentials such as food, water and shelter. Wants are things like gadgets, vacations or luxury items. Wants are unlimited and keep changing (a bicycle, then a motorbike, then a car).

Q60. What are resources? Name the factors of production.

Answer: Resources are the factors used to produce goods and services; they can be natural (water, coal) or human-made (capital, technology). The factors of production are land, labour, capital and technology.

Q61. Why must economies make choices?

Answer: Both natural and human-made resources are limited but have alternative uses (e.g. steel for aircraft or refrigerators), while wants are unlimited. So households and economies must decide how to use scarce resources in the best possible way.

Q62. Define opportunity cost with an example.

Answer: It is the value of what is given up when one alternative is chosen. If a farmer grows barley instead of wheat on the same land, the wheat given up is the opportunity cost of barley.

Q63. What is a Production Possibility Curve?

Answer: A curve showing the different combinations of two goods that can be produced using all available resources efficiently. It shows the trade-off between goods: more of one means less of the other.

Q64. From the farmer's table, what is the opportunity cost of moving from combination A to B?

Answer: Barley rises from 0 to 25 kg while wheat falls from 100 to 90 kg, so the opportunity cost of 25 kg of barley is 10 kg of wheat.

Q65. From the table, what is the opportunity cost of moving from combination D to E?

Answer: Barley rises from 75 to 100 kg while wheat falls from 40 to 0 kg, so growing 25 kg more barley costs 40 kg of wheat. The opportunity cost increases as we move from A to E (10, 20, 30 and 40 kg of wheat).

Q66. What is the meaning of the word 'economics'?

Answer: From the Greek oikonomia: oikos (household) + nemein (management), so economics originally meant household management. Today it deals with how individuals, enterprises and nations use limited resources efficiently.

Q67. What does the discipline of economics deal with?

Answer: How choices are made to optimise the use of limited resources to satisfy needs and wants, and how consumers, producers, governments and financial institutions interact: wages, distribution of wealth, price determination, investment and the influence of policy and trade.

Q68. Why are data and analysis important in economics?

Answer: Good decisions depend on data (e.g. economic surveys, company statements) and analysis rather than guesswork; economists study alternatives, opportunity costs and outcomes to help households, enterprises and governments decide.

Q69. List the areas where economists work.

Answer: Policy-making (advising on taxation and welfare spending), business consulting, finance (advising investors), and research and education.

Q70. What is the Economic Survey?

Answer: An annual document by the Ministry of Finance, presented in Parliament before the Union Budget. It reviews the economy's performance, analyses sectors, employment, inflation, education and health, and discusses future challenges. It acts as a blueprint for the Budget.

Q71. Explain 'what to produce' with the example of crops.

Answer: Farmers must choose between water-intensive crops like sugarcane and paddy and drought-resistant crops like millets and pulses. Sugarcane gives high profits; millets and pulses save water and improve soil health. The opportunity cost of sugarcane is the forgone gains from saved water and soil health.

Q72. Explain 'for whom to produce' with the example of shoes.

Answer: Producers decide which consumers to serve based on needs and income: simple durable school shoes for students, formal leather shoes for office-goers, special rubber-soled sports shoes for athletes and affordable casual shoes or slippers for daily use.

Q73. What is the difference between labour-intensive and capital-intensive production?

Answer: Labour-intensive production uses more workers and less machinery (agriculture, handicrafts). Capital-intensive production uses more machines and technology and fewer workers (steel, automobiles).

Q74. What factors determine the technique of production?

Answer: Cost of capital, level of technology, nature of the product, cost and availability of labour and other factors, and laws and regulations such as labour laws or incentives for machinery.

Q75. What is an economic system?

Answer: The system that defines the mechanisms for production, consumption and distribution of goods, services and resources in a country, depending on how resources are organised and who controls decision-making.

Q76. Describe a planned economy.

Answer: A central planning authority of the government makes all major decisions: what and how much to produce, how, and for whom, and at what prices. Government owns most resources; private firms follow targets under strict permits. Competition and innovation are limited. Examples: former Soviet Union, North Korea, Cuba.

Q77. Describe a market economy.

Answer: Questions are answered mainly through demand and supply with little government intervention. Resources are largely privately owned, and many producers compete, giving better quality, lower prices and innovation. The government acts like a referee. Examples: USA, Japan, Hong Kong.

Q78. Describe a mixed economy.

Answer: It combines features of market and planned economies: private individuals, enterprises and the government all make economic choices, with large public sector companies and regulated private players. Examples: India (post-1991), China (post-1978), Germany, Sweden.

Q79. What role does the government play in a mixed economy?

Answer: It sets rules for fair competition, consumer protection and transparency, provides public goods and welfare programmes, while profit-making businesses drive innovation and competition.

Q80. What are public goods?

Answer: Goods and services available to all without anyone being excluded; use by some does not prevent others from using them. Examples: parks, roads, police services, street lights and basic education.

Q81. How did India's economic system change over time?

Answer: After Independence India followed a state-led approach similar to a planned economy, with licences, permits and a dominant public sector. By 1991, facing economic difficulties, it introduced reforms that reduced regulations, encouraged private enterprise, opened the economy to global trade and increased competition, shifting towards a market-oriented system.

G. Long Answer Questions (5 marks each)

Q82. Explain why economic choices arise. Discuss needs, wants, scarcity and opportunity cost.

Answer: Individuals, enterprises and governments face choices (e.g. snacks or shoes; highways or hospitals).
Needs and wants: needs are essentials; wants are unlimited and keep changing.
Limited resources: land, labour, capital and technology are limited but have alternative uses, such as steel for aircraft or refrigerators.
Scarcity: unlimited wants versus limited resources gives rise to scarcity and hence choice.
Opportunity cost: when one alternative is chosen the value of the best alternative given up is the opportunity cost. For example, a farmer growing more barley must sacrifice some wheat. Understanding opportunity cost improves decision-making.

Q83. Explain the Production Possibility Curve with the help of the barley-wheat example.

Answer: A farmer with limited land, water and labour can produce combinations of barley and wheat: A (0 kg barley, 100 kg wheat), B (25, 90), C (50, 70), D (75, 40) and E (100, 0). Plotting barley on the x-axis and wheat on the y-axis gives a downward sloping Production Possibility Curve.

The PPC shows the trade-off: moving from A to E, more barley is produced and less wheat. The wheat sacrificed is the opportunity cost of barley (10, 20, 30 and 40 kg for each additional 25 kg of barley). All points on the curve show maximum output with efficient use of resources and no wastage. It helps enterprises and governments plan.

Q84. What does economics deal with? Describe the role of economists and the Economic Survey.

Answer: Economics (from oikonomia, household management) deals with how choices are made to optimise the use of limited resources to satisfy needs and wants. It explains how consumers, producers, governments and financial institutions interact: wages, distribution of wealth, price determination, investment and policy.

Families allocate money between essential items, non-essentials and savings; governments plan spending from taxes; enterprises study market trends. Economists use data such as economic surveys to analyse alternatives and opportunity costs. They work in policy-making, business consulting, finance, research and education.

The Economic Survey, prepared by the Ministry of Finance and presented before the Union Budget, reviews the year's performance of agriculture, industry, services, employment, inflation, health and education and is a blueprint for the Budget.

Q85. Explain the three key questions of economics with examples.

Answer: Unlimited wants and limited resources lead to scarcity and three key questions:

1. **What to produce:** which goods and in what quantities, e.g. sugarcane (profits, supports the sugar industry) versus millets and pulses (save water, improve soil health): a trade-off between short-term gains and long-term sustainability.
2. **How to produce:** choosing the mix of land, labour, capital and technology; labour-intensive (agriculture, handicrafts) versus capital-intensive (steel, automobiles). It depends on cost of capital, technology, nature of the product, labour availability and laws.
3. **For whom to produce:** goods for different groups by income and need, e.g. school, office, sports and casual shoes.

Q86. Compare planned, market and mixed economies.

Answer: Planned: central authority decides what, how and for whom; government owns most resources; strict permits and licences; limited competition and innovation. Examples: former Soviet Union, North Korea, Cuba.

Market: demand and supply decide; private ownership; many producers, better quality, lower prices and innovation; government is a referee ensuring safety and law and order. Examples: USA, Japan, Hong Kong.

Mixed: private and government sectors coexist and compete; public sector companies; government regulates through fair competition rules, consumer protection, and provides public goods and welfare. Examples: India (post-1991), China (post-1978), Germany, Sweden. Almost all economies are mixed, which is why pure systems rarely exist.

Q87. Explain how India's economic system has evolved.

Answer: In the decades after Independence India followed a state-led approach similar to a planned economy. The government controlled industries, allocated resources and regulated production through licences and permits; key sectors like banking, transport and heavy industry were dominated by the public sector.

By 1991 the country faced serious economic difficulties, so major reforms were introduced: reduced excessive regulation, encouragement of private enterprise, opening up to global trade and investment, and more competition. These reforms shifted India towards a more market-oriented system while keeping an important role for the government, making it a mixed economy. This shows how a country's economic system changes with its needs.